Market Microstructure Map

Order books, spreads and impact

PROFESSIONAL DEFINITION

The Market Microstructure Map describes how orders, order books, spreads and price impact interact to determine how trades are executed and prices formed at a fine-grained level.

WHO DEVELOPED IT

Grounded in the field of market microstructure, associated with scholars such as Maureen O'Hara and Larry Harris.

WHY IT WAS DEVELOPED

It was developed to understand price formation and trading costs at the level where automated and high-frequency strategies operate.

FIGURE 1 · MARKET MICROSTRUCTURE MAP

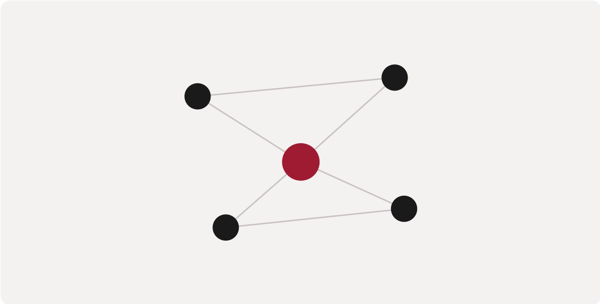

Figure 1. A schematic of the Market Microstructure Map as applied in BARBM312 (illustrative).

HOW IT IS USED

The components of the trading mechanism are mapped to analyse execution cost, liquidity and price impact.

WHEN IT IS USED

When designing execution strategy and analysing trading costs.

BY WHOM IT IS USED

Traders, execution and research teams.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It provides the fine-grained view of trading necessary to understand and manage execution in automated markets.

RELATED FRAMEWORKS IN THIS COURSE

- **Algo-Trading Pipeline** · Slibrary 24
- **Latency Arms Race** · Slibrary 24
- **Flash-Crash Risk Loop** · Slibrary 24
- **Execution Cost Frontier** · Slibrary 24

SOURCES (HARVARD REFERENCING STYLE)

O'Hara, M. (1995) Market Microstructure Theory. Cambridge: Blackwell.

Harris, L. (2003) Trading and Exchanges. Oxford: OUP.